

Trade Republic Wallets: Product Requirements Document (PRD)

Product: Trade Republic

Author: Inder, Jose Manuel and Sakshi - Ironhack Students

Status: Validating

AI Assistance Disclosure:

- **Tool:** ChatGPT
- **Use:** AI was used to draft the initial version of the Product Requirements Document (PRD), including the feature description, user stories, acceptance criteria, roadmap, and supporting documentation.
- **Human Contribution:** We defined the business goals, refined the feature scope, reviewed and modified the AI-generated content, validated assumptions, prioritised the roadmap, adjusted the epics and user stories, and ensured the document aligned with Trade Republic's business context and Agile best practices.
- **Validation:** All content was manually reviewed for accuracy, consistency, and alignment with Product Management principles. Requirements, KPIs, and roadmap decisions were validated against Agile methodologies, PRD best practices, and Trade Republic's existing product capabilities.

01. Problem Statement

Trade Republic currently allows users to hold uninvested cash in a single cash balance. While this is sufficient for investing, it does not support users who want to organise their money according to different financial goals (e.g., emergency fund, vacation, taxes, or a new car).

As a result, users often rely on external banking or budgeting apps to separate their savings, reducing Trade Republic's role in their day-to-day financial management and increasing the likelihood of transferring funds outside the platform.

The Wallets feature aims to solve this by allowing users to create multiple virtual wallets within their Trade Republic account, making it easier to organise, manage, and eventually automate their savings while keeping more funds within the ecosystem.

02. Goals & Success Metrics

Business Goals:

Primary Goal

Increase the average cash balance held per customer by 10% within six months by encouraging users to keep more funds within the Trade Republic ecosystem.

Secondary Goals

- Increase customer engagement by 15% within six months by encouraging users to manage their cash more actively within Trade Republic.
- Increase the 90-day customer retention rate by 8% within six months by expanding Trade Republic's role in users' day-to-day financial management.
- Establish a scalable cash management infrastructure that enables future capabilities such as automated savings and investing.

User Goals

- Organise money by financial goal.
- Easily move money between wallets.
- Manage wallets without opening multiple bank accounts.
- Gain better visibility over available cash.

Success Metrics (KPIs)

Business KPIs

Business Goal	KPI	Target
Increase cash balances held within Trade Republic	Average cash balance per customer	+10% within 6 months
	Total customer cash held	+15% within 6 months
Increase customer engagement	Monthly Active Users (MAU)	+15% within 6 months of launch
	Average sessions per active user	+10% within 6 months
	Average cash management actions per user (e.g., transfers, deposits, withdrawals)	+20% within 6 months
Increase customer retention	90-day customer retention rate	+8% within 6 months
	Customer churn rate	-5% within 6 months

Feature Adoption KPIs (Leading Indicators)

KPI	Target
Wallet adoption rate (% of active users who create at least one wallet)	≥30% within 3 months
Average number of wallets per Wallet user	≥2 wallets

KPI	Target
Percentage of Wallet users who transfer money between wallets at least once per month	≥40%
Average number of wallet transfers per active Wallet user	≥3 per month
Wallet deletion rate	<10% within the first month after creation

03. User Stories

Primary Persona

Retail investors who also use Trade Republic as their primary savings platform.

Persona 1: Sarah — "The Goal-Oriented Saver" — PRIMARY TARGET FOR MVP

Demographics

Attribute	Details
Age	28-35
Occupation	Full-time employee (salary: €45K-70K)
Location	Berlin, Germany
Financial status	Middle class, financially literate

Current Behavior

- Uses Trade Republic for investing (stocks, ETFs)
- Has multiple bank accounts (Commerzbank for salary, ING for savings, N26 for daily spending)
- Manually tracks savings goals in a spreadsheet
- Checks banking apps 2-3x per week

Pain Points

- Multiple bank accounts are confusing
- Mixes "money to invest" with "emergency fund" with "vacation savings"
- Doesn't know how much she's saved toward each goal
- Feels scattered financially

Motivation to Use Wallets

- "I want ONE place to manage all my money (savings + investing)"
- "I need to see my progress toward my €2K vacation goal"
- "I want to automate my savings, not manually transfer"

Expected Usage

- Creates 3-4 wallets (Emergency Fund €5K, Vacation €2K, Down Payment €10K, Monthly Cash €2K)
- Transfers money weekly (after payday)
- Checks wallets 2-3x per week
- High engagement with wallet feature

Strategic Value

- HIGH: Likely to increase cash balance in Trade Republic
- HIGH: Long-term retention (+ 25-30%)

Persona 2: Marcus — "The Casual Investor" — SECONDARY TARGET

Demographics

Attribute	Details
Age	22-27
Occupation	Part-time/Freelancer
Location	Europe (Italy, Spain)
Financial status	Lower-middle income, variable cash flow

Current Behavior

- Uses Trade Republic for small stock purchases (occasional)
- Checks app once per week
- Money is held in "main account" (no organisation)
- Plans to invest more but "doesn't know where to start"

Pain Points

- Variable income = doesn't know how much to invest vs. save
- Feels overwhelmed by financial complexity
- Hasn't invested because he can't separate "safe money" from "investment money"

Motivation to Use Wallets

- "I want to save for my car, but also keep money for emergencies"
- "I should separate my investment budget from daily spending"

- "I like Trade Republic, so I want to organise money here"

Expected Usage

- Creates 2-3 wallets (Emergency Fund, Car Savings, Investment Fund)
- Transfers money monthly (less frequent)
- Checks wallets once per week
- Medium engagement

Strategic Value

- MEDIUM: Moderate increase in cash balance
- MEDIUM: May increase investment activity (psychological confidence)
- MEDIUM: Moderate retention improvement (+5%)

Epic 1 – Wallet Foundation (MVP)

Goal

Enable users to organise and manage their cash using multiple wallets.

User Stories

- Create onboarding for wallet creation
- Create First Wallet
- Rename a Wallet
- Delete a Wallet
- Create More Wallets
- Transfer money between wallets
- Add money to a wallet
- View Wallets

Business Value

- Improve cash organisation.
- Increase user engagement.
- Increase average cash flow.
- Complete the wallet lifecycle.
- Establish the foundation for future Wallet capabilities.

Business Rules

- Main Wallet cannot be deleted.
- Wallets with a positive balance cannot be deleted.
- Users must confirm wallet deletion.
- Duplicate names are not allowed.

Epic 2 – Goal-Based Saving

Goal

Help users save towards specific financial objectives.

User Stories

- Set a savings goal for each wallet.
- Track savings progress.
- Customise wallets with icons and colours.
- Receive milestone notifications.
- Allow a digital credit/debit card per Wallet.

Business Value

- Encourage disciplined saving.
- Improve user engagement.
- Increase cash retention.

Epic 3 – Wallet Automation

Goal

Help users save and invest automatically with minimal effort.

User Stories

- Schedule recurring transfers into a wallet.
- Round up purchases into a wallet.
- Automatically invest a wallet's balance into an existing Savings Plan.
- Automatically invest the interest earned by a wallet into a selected investment.
- Pause or modify automation settings.

Business Value

- Increase automation adoption.
- Increase Assets Under Management (AUM).
- Reduce idle cash.
- Improve long-term customer retention.

Epic 4 – Smart Wallets

Goal

Provide intelligent insights that help users make better financial decisions.

User Stories

- Budget tracking.
- Personalised savings recommendations.
- Cash flow forecasting.
- Allow deleting wallets with money (a pop-up notification confirmation appears, and the money is transferred to the main account)

Business Value

- Differentiate Trade Republic from competitors.
- Increase feature engagement.
- Position Trade Republic as a comprehensive financial platform.

04. Proposed Solution

In Scope (MVP)

The Wallets feature will introduce multiple virtual wallets within a user's Trade Republic account.

Users will be able to:

- Create wallets
- Rename wallets
- Delete empty wallets
- Transfer money between wallets
- Add money to wallets
- View wallet transactions

Wallets share the same IBAN and legal account; they are internal cash allocations, not separate bank accounts.

Out of Scope

The following capabilities are excluded from the MVP:

- Savings goals
- Wallet customisation (icons/colors)
- Automatic transfers
- Automatic investing
- Shared wallets
- Individual IBANs per wallet
- Budget analytics

These will be considered in future releases.

05. Functional Requirements (MoSCoW)

Must Have

- Create an onboarding for wallet creation
- Create First wallet
- Create More Wallets
- Rename wallets.
- Delete empty wallets
- Transfer money between wallets
- View wallet

Should Have

- Customize wallets with icons and colors
- Set a savings goal for each wallet.
- Track savings progress
- Receive milestone notifications
- Allow a digital credit/debit card per Wallet

Could Have

- Schedule recurring transfers into a wallet
- Automatically invest a wallet's balance into an existing Savings Plan
- Automatically invest the interest earned by a wallet into a selected investment.
- Pause or modify automation settings
- Round up purchases into a wallet

Won't Have (MVP)

- Allow a digital credit/debit card per Wallet
- Budget tracking
- Personalized savings recommendations
- Cash flow forecasting

06. Non-Functional Requirements

Performance

- Wallet creation <2 seconds.
- Internal transfers processed in real time (<1 second).
- Wallet overview loads in <2 seconds.

Security

- Existing authentication mechanisms apply.
- Transfers require standard Trade Republic security checks.
- All wallet actions are logged for auditing.

Privacy

- Wallet data follows GDPR requirements.
- No additional personal information is collected.

Accessibility

- WCAG 2.1 AA compliant.
- Screen reader compatible.
- Keyboard navigation supported.
- Colour contrast meets accessibility standards.

Technical Constraints

- Wallets use the existing cash ledger.
- No new bank accounts or IBANs are created.
- Existing payment infrastructure remains unchanged.
- Wallet balances must always reconcile with the total cash balance.

07. Risks & Trade-offs

Risk	Mitigation
Users may think wallets are separate bank accounts	Clear onboarding and in-app explanations
Increased complexity in cash management	Keep MVP simple and intuitive
Users accidentally delete wallets	Confirmation dialogue and delete only when balance is €0
Additional backend complexity	Reuse existing cash management infrastructure where possible

Trade-offs

We are choosing:

- Simplicity over advanced budgeting.
- Virtual wallets over multiple IBANs.

- Fast MVP delivery over feature completeness.

This enables faster validation while minimising technical and regulatory complexity.

08. Open Questions

Question	Owner	Target Date
Should wallet transfer history have a dedicated screen?	Product	Sprint 2 planning
Will Wallets support joint accounts in the future?	Product Strategy	Future Release planning

Appendix: Future Roadmap

The Wallets feature is designed as the foundation for a broader cash management experience:

- Epic 1: Wallet Foundation (MVP)
- Epic 2: Goal-Based Saving
- Epic 3: Wallet Automation (recurring transfers and integration with existing automatic investing)
- Epic 4: Smart Wallets (budgeting insights and personalised recommendations)

This phased approach allows Trade Republic to validate the core Wallets concept quickly, while progressively expanding it into a comprehensive financial management solution that increases customer engagement, cash retention, and Assets Under Management (AUM).